

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Treat your opening answer as a hypothesis to test, not a conclusion to defend. When the interviewer asks for structure, lay out a profit tree first: price $\times$ volume on the revenue side, and COGS, labor, and overhead on the cost side. Say where you'd start and why, then let the data confirm it. Your later math and data reading were excellent, but skipping the structure and repeating the recommendation before you had evidence would cost you the room early.

Rubric Scores

Problem Structuring

needs work

What went well

The candidate played back the case and stated the objective, then made a reasonable call to focus on costs because revenue had grown.

“Our goal is root cause plus a fix.”

“Given revenue grew, I'd start on the cost side rather than the demand side.”

What needs work

The interviewer asked for a structure twice, and the candidate declined both times, jumping straight to a recommendation instead of laying out a profit tree.

“Honestly, I think I can skip ahead here — the answer's pretty clearly input costs.”

“I don't think it's worth building out a full revenue-minus-cost tree and walking every branch when the pattern already tells us the story.”

When cost lines were finally named, they served to confirm a conclusion already reached rather than as an investigative framework. There was no revenue side (price $\times$ volume), no competitive context, and no explicit buckets.

“The cost pull is confirmation, not discovery.”

“If those three things hold, we're done — and I'd be surprised if they didn't.”

Missed opportunities

Turn 4: the interviewer said 'I'm not ready for a recommendation yet' and asked for the structure to test where the margin went.

A great answer: “Fair. Margin is profit over revenue, so I'd split it three ways. First, price and mix: have menu prices or the product mix shifted? Second, cost of goods: beans, dairy, food, packaging. Third, operating costs: labor and occupancy/overhead. Revenue grew 15% while margin fell 18 points, so my hypothesis is that per-unit costs rose and weren't passed through. I'd start with COGS and pricing history. I'd also ask whether peers are seeing the same compression, because that tells us how much pricing power we have.”

Quantitative & Analytical Rigor

strong

What went well

The candidate decomposed the COGS increase into points of revenue correctly and tied it back to the reported 58%. Beans: 10.5 ' 14.7. Other inputs: 31.5 ' 43.3. That is exactly the nested-percentage conversion this case tests.

“Beans were 25% of 42%, so 10.5 points of revenue; other inputs 75%, so 31.5 points.”

“Add those: 58.0. That's exactly today's COGS number.”

The first price figure (7-10%) was asserted with no derivation and overclaimed, but the candidate later stated an equation, checked the range against it, and correctly concluded that it only gets margin to 12-14%, recovering roughly a third to a half of the 18-point loss, while full recovery needs about 23.7%.

“If I raise prices $x\%$ and volume holds, cost dollars stay flat, so margin = $1 - 94/(1+x)$.”

“So my range gets us to roughly 12-14%, not back to 24%.”

“I'd do a staged increase, maybe 7-10% on core drinks”

“That alone should recover most of the margin.”

The traffic-drop breakeven was well built. Costs were split into variable and fixed, profit was set as 49v 36, and the candidate solved for 14% and 26.5% correctly, with a caveat about labor flexibility.

“Split costs into variable and fixed.”

“Caveat: labor isn’t perfectly fixed, you’d flex hours at the margin, which lowers the threshold somewhat.”

Missed opportunities

Turn 3: the candidate first proposed '7-10%' with no basis.

A great answer: “Before I put a number on it: costs are 94% of revenue, so holding volume flat, getting back to 24% margin needs prices up about 24%. That's too much in one step, so I'd target a first increase and close the rest with input-cost work.”

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost lines systematically, isolated COGS as 16 of the 18 points, and reconciled both margins.

“So 16 of the 18 points of margin came out of COGS alone.”

“Today: $58 + 22 + 14 = 94$, so 6%. Clean.”

The candidate went beyond beans to show they explain only about 4 of the 16 COGS points, attributing the remaining 12 to dairy, packaging, and food, but then drew the wrong implication by dismissing procurement on those 12 points instead of directing effort there.

“Beans are only about a quarter of the basket, so even a 40% spike there is 4 points of the 16. The other 12 points are dairy, packaging, and food.”

“you can’t contract-negotiate your way out of a 37.5% increase across every input category. The only lever that scales is price.”

The candidate proposed a relevant next step and stated what it would decide.

“One thing that’d be useful: a split of that COGS line — beans versus dairy versus cups and packaging. That tells us which contracts to attack first.”

What needs work

The candidate claimed the data confirmed the original hypothesis. That hypothesis had named labor as a co-driver, and the data showed labor flat; the candidate never acknowledged the miss.

“That lines up with what I said — COGS is the whole story.”

“in coffee the two costs that matter are beans and baristas.”

Missed opportunities

Turn 11: right after showing non-bean inputs explain 12 of the 16 points.

A great answer: “So three-quarters of the problem is dairy, packaging, and food, not beans. That shifts where procurement effort goes. Bean hedging alone won’t move much, but dairy and packaging contracts, plus any substitution there, are where cost-side recovery lives. Price still has to carry most of it.”

Business Judgment & Insight

adequate

What needs work

Early assumptions were asserted rather than justified: low elasticity, and wage inflation as a key driver, which the data later contradicted (labor flat at 22%). The candidate later proposed piloting the price increase in a subset of stores to generate the missing elasticity data, which is practical and de-risks the main lever.

“Specialty coffee is a low-elasticity category — people buy their latte regardless.”

“wages in food service have gone up a lot too.”

“run it in a subset of locations — say 20 stores — so we can actually measure volume response, since we don’t have elasticity data.”

“That pilot generates the data we’re missing.”

The candidate surfaced two real risks with concrete mitigations (weekly transaction tracking and a second increase contingent on the pilot), but the final message dropped the candidate’s own labor-flex caveat and overstated how safe the price move is.

“the math says you’d need a 14% traffic drop before you’re worse off than today — so the downside is well covered”

“Second risk is that input prices mean-revert; if beans fall back we’d be over-priced versus competitors who held.”

“So I’d watch transaction counts weekly and keep the second increase contingent on the pilot.”

Missed opportunities

Turn 3, asserting low elasticity without evidence.

A great answer: “My hypothesis is that our premium drinks have some pricing power, but I’d test it. Are competitors also raising prices against the same input inflation? If peers have moved and we haven’t, we’re likely underpriced and there’s room. If they’ve held, we risk losing traffic.”

Creativity & Brainstorming

adequate

What went well

The candidate produced several distinct, case-tailored ideas, including a less obvious mix shift toward lower-input drinks that targets dairy, the driver the candidate had identified.

"Pushing black coffee, oat alternatives if cheaper, and food attach could move the blended COGS ratio without a headline price change."

"Cheaper cups and lids, or a discount for reusables, is a straight cost line."

What needs work

When prompted, the candidate prioritized and sequenced the ideas with reasons, but the brainstorm itself was a flat list with no organizing buckets, such as revenue/price vs. COGS vs. operations.

"A few things."

"In parallel, because they're fast and invisible to customers: waste and portion control, and packaging substitution."

"Menu mix third — it takes merchandising work and takes longer to show up."

Missed opportunities

Turn 14: asked what else could close the remaining gap.

A great answer: "I'll split this into three buckets. First, price architecture: targeted increases on premium SKUs, size laddering. Second, input cost: dairy and packaging contracts, a lower-cost blend, waste and portion control. Third, mix: steering toward low-dairy drinks and higher-margin food attach. I'd prioritize by margin points per unit of demand risk."

Synthesis & Recommendation

strong

What went well

The final recommendation was answer-first and concise, and it was supported by the key evidence: COGS accounts for 16 of the 18 points, and prices have been flat for two years.

"Brew & Bean's margin problem is almost entirely input cost inflation that you never passed through to customers."

"So: raise prices. I'd start at 7-8% across the menu, piloted in roughly 20 stores."

The candidate named risks and a concrete next step tied to the data gap, but the final message overstated the downside protection by dropping the earlier labor-flex caveat, and it did not say how the remaining gap from about 12% back toward 24% gets closed.

"Risks: volume loss, and input prices reverting and leaving you priced above competitors."

"Next step is the pilot — it gives us the elasticity data we don't currently have."

"That alone takes margin from 6% to about 12%"

"so the downside is well covered"

Missed opportunities

Turn 21, the CEO summary.

A great answer: "...A 7-8% pilot takes margin to about 12%. A second increase, plus dairy and packaging procurement and waste control, closes most of the rest. The breakeven traffic drop is about 14% if labor stays fixed, and somewhat less if hours flex, so we'll monitor weekly."

Communication & Delivery

adequate

What needs work

The candidate repeatedly overrode the interviewer's explicit cues. They declined to give a structure and dismissed a direct question about what to compare against.

"I'd say the structure is kind of implied by the answer."

"So we don't really need to compare against anything further"

Phrasing was clear and easy to follow with little filler, but the candidate restated the same recommendation at nearly every turn before the evidence was in, which read as advocacy rather than hypothesis-driven analysis.

"But either way, my recommendation stands — price increase plus supplier contract renegotiation."

"So — raise prices 7-10%, renegotiate where you can on the bean side, and that's the plan."

"Given revenue grew, I'd start on the cost side rather than the demand side."

"Let me set it up. Split costs into variable and fixed."

Missed opportunities

Turn 8: the interviewer asked 'What would you need to compare them against to see where the margin went?'

A great answer: "I'd compare each line to two years ago. COGS rose 16 points, labor was flat, and overhead rose 2, which reconciles the full 18-point drop. Then I'd check peer chains, to know whether this is industry-wide or Brew & Bean-specific."

Pushback, Composure & Case Leadership

adequate

What went well

The candidate drove the case by requesting specific data and proposing a pilot to generate missing evidence.

“Do we have menu price history over those two years? That’s the one thing that would confirm it fast.”

“That pilot generates the data we’re missing.”

What needs work

Early on, the candidate held rigidly against the interviewer’s pushback, twice declined to provide a structure, and never incorporated the hint. Later, when challenged on the 7-10% figure and the ‘few percent’ traffic threshold, the candidate admitted neither was derived, did the math, and updated.

“But either way, my recommendation stands — price increase plus supplier contract renegotiation.”

“The cost pull is confirmation, not discovery.”

“Honestly, the 7-10% was a judgment call on what customers would absorb without walking, not something I derived. Let me actually run it.”

“That’s a lot more than I assumed, and at that level elasticity stops being a rounding error.”

Missed opportunities

Turn 4: the interviewer said ‘you haven’t shown me evidence for the cause.’

A great answer: “That’s fair. I jumped to an answer. Let me park the recommendation as a hypothesis and lay out how I’d test it, so we can confirm or kill it with data.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost ‘commodity blend’ for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 0:59

Sure — so just to play it back: Brew & Bean, 200 US locations, net margin fell from 24% to 6% over two years while revenue grew 15%. So revenue is up but profit is way down, which means costs have grown much faster than sales. Our goal is root cause plus a fix.

Given revenue grew, I'd start on the cost side rather than the demand side. Let me think about where that margin went.

Interviewer · 1:01

Understood. Take a minute if you need it, then walk me through how you'd structure the cost analysis.

Candidate · 2:32

Honestly, I think I can skip ahead here — the answer's pretty clearly input costs. Coffee commodity prices and dairy have spiked over the last two years, and wages in food service have gone up a lot too. Revenue grew 15% but margin fell 18 points, which is exactly what you'd see if COGS and labor inflated and prices stayed flat.

So my recommendation: Brew & Bean should raise menu prices. Specialty coffee is a low-elasticity category — people buy their latte regardless. I'd do a staged increase, maybe 7-10% on core drinks, lead with the premium SKUs where willingness to pay is highest, and pair it with a loyalty program so regulars feel cushioned. That alone should recover most of the margin.

Secondary lever would be renegotiating bean contracts and locking in longer-term supplier pricing to stop the bleeding on volatility.

That's where I'd land.

Interviewer · 2:35

Understood, but I'm not ready for a recommendation yet, because you haven't shown me evidence for the cause. Take a minute, then walk me through the structure you'd use to test where the margin went.

Candidate · 4:06

I'd say the structure is kind of implied by the answer. If the cause is input cost inflation, then the test is just: pull COGS as a percent of revenue two years ago versus today, same for labor, and confirm menu prices were roughly flat. If those three things hold, we're done — and I'd be surprised if they didn't.

I don't think it's worth building out a full revenue-minus-cost tree and walking every branch when the pattern already tells us the story. Revenue grew. Margin collapsed. That's a cost problem, and in coffee the two costs that matter are beans and baristas.

Do we have menu price history over those two years? That's the one thing that would confirm it fast.

But either way, my recommendation stands — price increase plus supplier contract renegotiation.

Interviewer · 4:10

Menu prices have not changed in two years. Given that, which cost lines would you pull next, and what would each tell you about where the margin went?

Candidate · 5:41

Right — prices flat for two years confirms it. That's basically the whole case. If prices held and margin fell 18 points, the gap is cost inflation they never passed through.

If we're pulling lines, I'd look at COGS as a percent of revenue and labor as a percent of revenue, then whatever's left in occupancy. COGS tells us beans and dairy, labor tells us wage pressure, rent tells us lease renewals. But I'd expect the first two to account for almost all of it.

Quick sanity check on the math: revenue up 15%, so if margin went 24 to 6, profit dollars dropped roughly from 24 to 6.9 on a base of 100 going to 115 — about a 70% profit decline. That's a big number, and flat pricing against inflation gets you there.

So I'd still land in the same place: raise prices 7-10%, renegotiate supply contracts. The cost pull is confirmation, not discovery.

Interviewer · 5:47

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Those are current figures. What would you need to compare them against to see where the margin went?

Candidate · 7:17

That lines up with what I said — COGS is the whole story. Up 16 points, 42 to 58. Labor flat, overhead up 2. So 16 of the 18 points of margin came out of COGS alone.

Quick check: $42 + 22 + 12 = 76$, so 24% margin, matches the starting point. Today: $58 + 22 + 14 = 94$, so 6%. Clean.

So we don't really need to compare against anything further — the current figures versus the old ones already give us the answer. It's input costs, exactly as I framed it at the start.

One thing that'd be useful: a split of that COGS line — beans versus dairy versus cups and packaging. That tells us which contracts to attack first.

But the recommendation doesn't change. Prices have been flat for two years while COGS climbed 16 points. Raise prices 7-10%, lock in longer supplier terms.

Interviewer · 7:20

Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Raw coffee bean costs are up 40% over the past two years.

Candidate · 8:51

Let me run it. Beans were 25% of 42%, so 10.5 points of revenue; other inputs 75%, so 31.5 points. Beans up 40% gives 14.7. Other inputs up 37.5% gives 43.3. Add those: 58.0. That's exactly today's COGS number.

So the entire 16-point move is explained by input price inflation, and it's broad — not just beans. Beans are only about a quarter of the basket, so even a 40% spike there is 4 points of the 16. The other 12 points are dairy, packaging, and food.

Which honestly reinforces my point: you can't contract-negotiate your way out of a 37.5% increase across every input category. The only lever that scales is price. Flat menu for two years against that kind of inflation is the root cause.

So — raise prices 7-10%, renegotiate where you can on the bean side, and that's the plan.

Interviewer · 8:56

Okay. You've said 7-10% on menu prices. Walk me through how you got that range, and what it would do to the margin.

Candidate · 10:26

Honestly, the 7-10% was a judgment call on what customers would absorb without walking, not something I derived. Let me actually run it.

Costs are 94% of revenue. If I raise prices $x\%$ and volume holds, cost dollars stay flat, so margin = $1 - 94/(1+x)$. At 7%: $94/1.07 = 87.9$, so margin 12.1%. At 10%: $94/1.1 = 85.5$, margin 14.5%.

So my range gets us to roughly 12-14%, not back to 24%. To fully recover, I'd need $94/0.76 = 123.7$, a 23.7% price increase. That's a lot more than I assumed, and at that level elasticity stops being a rounding error.

Do we have transaction volume or any elasticity data? Without it I'd assume volume holds flat, which is generous.

But the direction is unchanged — price is the lever, it just has to be bigger or paired with cost work.

Interviewer · 10:31

I don't have elasticity data or a transaction volume breakdown. Beyond price increases and supplier renegotiation, what else could Brew & Bean do to close the remaining gap?

Candidate · 12:01

Fair — I'll assume volume holds, which is generous, and work the remainder.

A few things. Menu mix: shift customers toward higher-margin items. Brewed coffee and espresso have a much lower input load

than dairy-heavy drinks, and dairy is in the bucket that drove most of the 12 points. Pushing black coffee, oat alternatives if cheaper, and food attach could move the blended COGS ratio without a headline price change.

Portion and waste control: at 200 locations, standardizing pours and cutting spoilage on dairy and food is real money when inputs are up 37.5%.

Packaging — it's inside that same bucket. Cheaper cups and lids, or a discount for reusables, is a straight cost line.

Overhead is only up 2 points, so I wouldn't spend time there.

But I'd be clear with the CEO: these are supporting moves. Flat prices for two years against this inflation is the cause, and price is the primary fix.

Interviewer · 12:03

Okay. Pricing is the primary lever in your view. Which of your ideas would you sequence first, and what risk to the business would you watch as you roll them out?

Candidate · 13:34

I'd sequence price first, but staged rather than one 24% jump. Start with a 7-8% increase, which gets us to roughly 12% margin, and run it in a subset of locations — say 20 stores — so we can actually measure volume response, since we don't have elasticity data. That pilot generates the data we're missing. Then a second increase a few quarters later based on what we learn.

In parallel, because they're fast and invisible to customers: waste and portion control, and packaging substitution. Those don't carry demand risk.

Menu mix third — it takes merchandising work and takes longer to show up.

Main risk is volume loss. Specialty coffee has substitutes, and if traffic drops more than a few percent the price increase is self-defeating. Second risk is that input prices mean-revert; if beans fall back we'd be over-priced versus competitors who held. So I'd watch transaction counts weekly and keep the second increase contingent on the pilot.

Interviewer · 13:37

You said a traffic drop of more than a few percent would make the price increase self-defeating. Walk me through how you'd work out that threshold.

Candidate · 15:08

Let me set it up. Split costs into variable and fixed. COGS at 58 moves with volume. Labor 22 and overhead 14 are mostly fixed in the short run — stores are staffed and leased regardless. So 36 points fixed.

Take revenue 100 today, profit 6. Now raise price 7% and let v be the volume index. Revenue becomes $107v$, COGS $58v$, fixed stays 36. Profit = $49v - 36$.

To hold today's 6 points of profit: $49v = 42$, so $v = 0.857$. That's a 14% traffic drop before we're worse off than today.

To just break even on profit: $49v = 36$, $v = 0.735$, a 26.5% drop.

So my "few percent" was too conservative — the cushion is more like 14%. Caveat: labor isn't perfectly fixed, you'd flex hours at the margin, which lowers the threshold somewhat. But 14% is the number I'd pilot against.

Interviewer · 15:10

Understood. Now the CEO is on the line and wants your final recommendation in under a minute. What do you tell them?

Candidate · 16:41

Brew & Bean's margin problem is almost entirely input cost inflation that you never passed through to customers. COGS went from 42% to 58% of revenue — that's 16 of the 18 points you lost. Labor is flat, overhead is up only 2. And menu prices haven't moved in two years while your input basket rose about 37.5%.

So: raise prices. I'd start at 7-8% across the menu, piloted in roughly 20 stores. That alone takes margin from 6% to about 12%, and the math says you'd need a 14% traffic drop before you're worse off than today — so the downside is well covered. Then a second increase based on what the pilot shows.

Alongside that, waste and portion control on dairy, cheaper packaging, and a push toward lower-input drinks and food attach.

Risks: volume loss, and input prices reverting and leaving you priced above competitors.

Next step is the pilot — it gives us the elasticity data we don't currently have.

Interviewer · 16:43

That's our time. Thanks for working through this with me — your written report will follow.